Obvious, isn't it? Well, look around you and see how many supposedly sophisticated investors get themselves crossed up on this matter of what price-earnings ratio to use in considering how far ahead a stock is actually discounting future growth. This is particularly true if a change has been taking place in the background of the company being studied. Let us now consider the ABC Company instead of the XYZ corporation. The two companies are almost exactly alike except that the ABC Company is much younger. Only in the last two years has its fundamental excellence been appreciated by the financial community to the point that its shares, too, are now selling at twice the price-earnings ratio of the average Dow Jones stock. It seems almost impossible for many investors to realize, in the case of a stock that in the past has not sold at a comparably high price-earnings ratio, that the price-earnings ratio at which it is now selling may be a reflection of its intrinsic quality and not an unreasonable discounting of further growth.

What is important here is thoroughly understanding the nature of the company, with particular reference to what it may be expected to do some years from now. If the earning spurt that lies ahead is a one-time matter, and the nature of the company is not such that comparable new sources of earning growth will be developed when the present one is fully exploited, that is quite a different situation. Then the high price-earnings ratio does discount future earnings. This is because, when the present spurt is over, the stock will settle back to the same selling price in relation to its earnings as run-of-the-mill shares. However, if the company is deliberately and consistently developing new sources of earning power, and if the industry is one promising to afford equal growth spurts in the future, the price-earnings ratio five or ten years in the future is rather sure to be as much above that of the average stock as it is today. Stocks of this type will frequently be found to be discounting the future much less than many investors believe. This is why some of the stocks that at first glance appear highest priced may, upon analysis, be the biggest bargains.

5. Don't quibble over eighths and quarters.

I have used fictitious examples in attempting to make clear various other matters. This time I will use an actual example. A little over twenty years ago, a gentleman who in most respects has demonstrated a high order of